

Understanding NPS

Session 2 - The decision

Now that you understand it, should you actually do it?

By the end of this hour,

you will have made a real decision about NPS in your life.

And if it is a yes, you will know exactly how to act on it.

SECTION 01

Quick recap

The four things from session 1 worth re-anchoring.

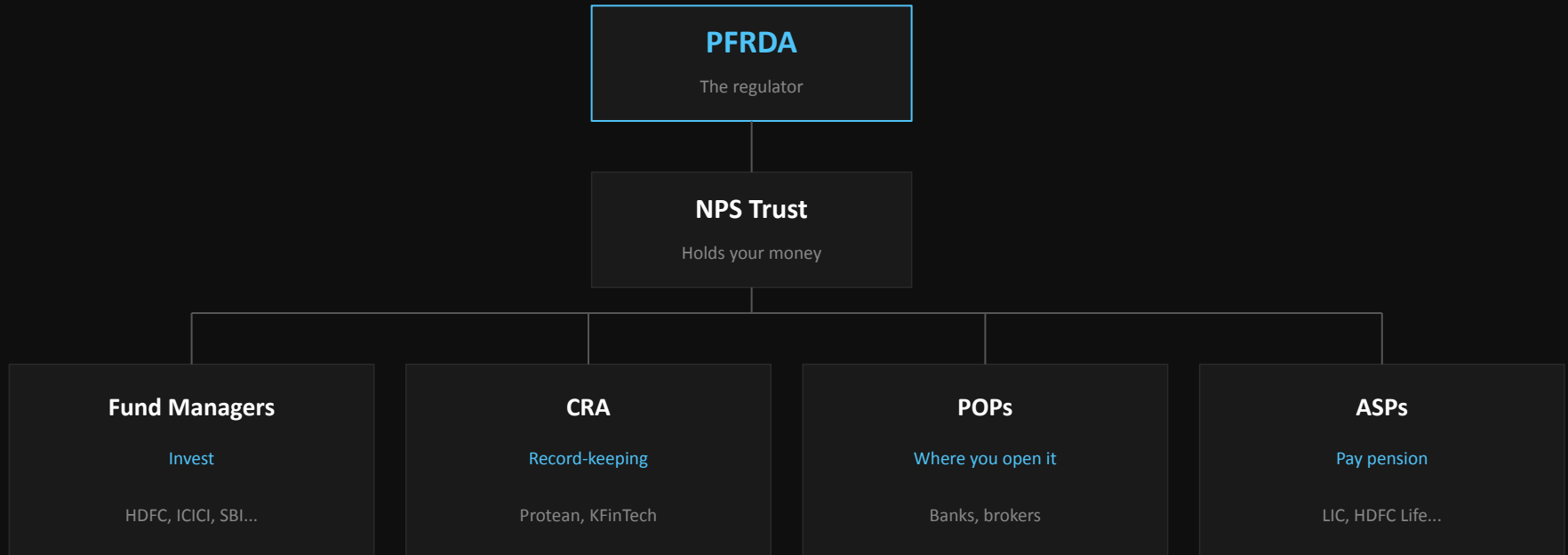
NPS is a pension fund.

- 01 A pool of money, professionally managed, built specifically for retirement.
- 02 Same structure as mutual funds - fund managers, daily NAV, units.
- 03 Regulated by PFRDA. Locked till age 60. Tax-sheltered.

We are talking about Tier 1 throughout. Tier 2 is optional, no tax benefits.

How NPS works

You contribute. Fund managers invest. PFRDA regulates. Your money grows tax-free till 60.



The tax shelter is real.

Under the new tax regime, almost every other deduction is gone. NPS is the one that remains.

80CCD(2)

Employer routes up to 14% of basic salary into NPS - tax-free

Both regimes

80CCD(1B)

Additional ₹50,000 self-contribution deduction

Old regime only

80CCD(1)

Up to 10% of salary (or 20% if self-employed)

Old regime only

The employer route (80CCD(2)) is the most powerful. The only NPS deduction that works in new regime.

Why NPS wins for retirement

₹10,000/month pre-tax. 30 years. 12% returns.

MUTUAL FUNDS

Total corpus at 60

₹2.1 cr

Cash in hand

₹1.87 cr

Monthly income from 60

₹91,000

From drawdown - depletes

NPS (EMPLOYER ROUTE)

Total corpus at 60

₹3.05 cr

Cash in hand

₹1.83 cr

Monthly income from 60

₹1.42 lakh

₹53K pension for life + drawdown on top

Same money out of pocket. ~56% higher monthly income. Part of it for life.

SECTION 02

The four big questions

The questions you kept asking after session 1.

QUESTION 01

What about EPF and PPF?

Where does NPS fit alongside the other retirement products?

First, let us understand each one. Then compare.

EPF - Employee Provident Fund

The default retirement savings for salaried Indians.

Who has it

Salaried, basic $\leq$ ₹15,000 at joining (mandatory). Above that, optional with employer agreement.

Contribution

12% of (Basic + DA) from you, 12% from employer. Of employer's share, 3.67% to EPF, 8.33% to EPS.

Returns

8.25% per year (FY 2025-26). Government-fixed. Tax-free.

Lock-in

Till retirement (58). Withdrawal after 5 continuous years of service is tax-free.

Action item - check your UAN at passbook.epfindia.gov.in. You may have dormant EPF money from old jobs.

PPF - Public Provident Fund

The voluntary, government-backed safe-haven for any resident Indian.

Who can open

Any resident Indian. One account per person. NRIs cannot open new accounts.

Contribution

Minimum ₹500/year. Maximum ₹1.5 lakh/year. Self-contributed, no employer match.

Returns

7.1% per year. Government-fixed, reviewed quarterly. Unchanged since April 2020.

Lock-in

15 years. Extendable in 5-year blocks. Partial withdrawal from year 7. Loan from year 3.

Triple-E tax status. Tax-free in, tax-free growth, tax-free out. 80C deduction only in old regime.

EPF vs PPF vs NPS vs Mutual Funds

Same row = same dimension. Across columns = how each product handles it.

	EPF	PPF	NPS	Mutual Funds
Who	Salaried (some)	Any resident	Anyone incl NRI	Anyone
Returns	8.25% fixed	7.1% fixed	~12% market	~12% market
Risk	Zero	Zero	Market	Market
Lock-in	Till 58	15 years	Till 60	None
Tax on growth	Tax-free	Tax-free	Tax-free	Tax-free
Tax at exit	Tax-free	Tax-free	60% free, 40% taxed	LTCG 12.5%
New regime shelter	No	No	Yes (80CCD(2))	No
Employer match	Yes	No	Yes (80CCD(2))	No
Equity exposure	No	No	Up to 75-100%	Yes

Key takeaway - these are not competing products. EPF auto-saves, PPF gives a safe haven, NPS offers tax-sheltered equity for retirement, MF gives flexibility for everything else.

They are not competing products.

Each one plays a different role.

EPF	Auto-pilot retirement. You don't choose it, it happens.
PPF	Safe-haven for risk-averse savers. Tax-free, capped at ₹1.5L/year.
NPS	Equity exposure with the strongest tax shelter under new regime.
MFs	Flexibility for everything else - emergency, goals, mid-life needs.

QUESTION 02

Can NRIs invest in NPS?

And does it actually make sense for them?

Yes, NRIs can invest. With conditions.

ELIGIBLE

- ✓ Indian citizens, aged 18-70
- ✓ Non-Resident Indians (NRIs)
- ✓ Overseas Citizens of India (OCIs) - since 2019

NOT ELIGIBLE

- Persons of Indian Origin (PIOs)
- Hindu Undivided Families (HUFs)
- Tier 2 - not available for NRIs

To operate - NRE or NRO account, minimum ₹6,000/year, no Power of Attorney, no joint accounts.

The tax angle for NRIs is different.

Tax benefits only work against income that is taxable in India.

NRI WITH NO INDIAN INCOME

Pure overseas earner with no Indian rental, capital gains, or business income.

Tax benefit on contribution

Essentially zero

Corpus still grows tax-free. But the upfront tax shelter does not apply.

NRI WITH INDIAN INCOME

Has Indian rental, capital gains, or business income to offset.

Tax benefit on contribution

Up to ₹2 lakh

Same as resident Indians - 80CCD(1) + 80CCD(1B), against Indian income.

But there is one more angle that changes everything - what if the NRI returns to India?

If you plan to return to India, **NPS becomes a powerful proposition.**

01 While abroad

You contribute via NRE/NRO. Corpus grows tax-free in India. Tax shelter on contribution is limited (only against Indian income, if any).

02 When you return

Status becomes resident gradually. PRAN stays the same. Now contributions reduce your Indian salary tax. NPS becomes fully tax-efficient.

03 At age 60

60% lump sum tax-free. 40% annuity gives lifelong income in INR - exactly the currency you will be spending in. No FX conversion loss.

If you have no intention of ever returning, NPS is much less compelling. Mutual funds via NRE/NRO give more flexibility.

QUESTION 03

When can I actually get my money back?

The real picture on liquidity and exit.

Five ways your money comes back

NPS is not as locked as it seems. There are real exit paths.

01 At age 60 - normal exit

60% lump sum tax-free, 40% goes into annuity that pays you for life.

02 Partial withdrawals during the term

Up to 25% of your contributions, 4 times in total. For education, marriage, medical, first home, business setup, disability.

03 Early exit after 15 years

You can exit after completing 15 years. 20% lump sum, 80% goes into annuity. Less attractive but possible.

04 On death of the subscriber

100% of corpus goes to nominee. Tax-free. No annuity compulsion. Family gets everything.

05 Job change - account follows you

Your PRAN is portable. New employer can continue contributing to the same account. No break in continuity.

QUESTION 04

I am 45 or 50. Should I bother?

Honest answer about starting late.

Yes, but with realistic expectations.

THE MATH AT 45

₹10,000/month for 15 years at 12% = about ₹50 lakh corpus

That is real money, but it is not the ₹3 crore you would get from starting at 30.

WORTH DOING IF...

- Your employer offers 80CCD(2) - free pre-tax money flowing in is always good
- You are in 30% tax bracket - the shelter still saves you meaningfully
- The 15-year rule means you exit at 60 anyway - no extra lock-in beyond retirement
- You combine it with aggressive equity mutual funds to make up the shorter runway

SECTION 03

Should YOU invest?

Four honest questions. Then three personas. Then your answer.

Four questions to ask yourself.

Each one is a gate. If you answer NO to any of them,

NPS is not for you. And that is a valid answer.

Be honest. Do not say yes because it sounds right. Say yes only if it actually is.



QUESTION 01

Am I genuinely ready to plan for my retirement?

Do not say yes because it sounds responsible. Actually think about it.

Are you ready to give up some money you earn today,
for a benefit that arrives 20, 30, or 35 years from now?

If yes is just a reflex answer, you are not ready yet. And that is okay.

QUESTION 02

Can I lock this money away till age 60?

This is the most important practical question. NPS is a one-way valve.

- Do you have a stable enough income?
- Do you have an emergency fund separately?
- Are your near-term goals - home, kids, marriage - taken care of separately?
- Can you genuinely promise yourself to not need this money for 25-30 years?

QUESTION 03

Do I want guaranteed monthly income for life after 60?

This is non-negotiable. 40% of your corpus mandatorily goes into a lifelong annuity.

If you value the safety of a fixed monthly pension, this is a feature.

If you prefer full control over your retirement money - to manage your own drawdown, to invest aggressively in retirement, to take it as a lump sum - this is a constraint.

Be honest about which side you are on.

QUESTION 04

Will I save meaningful tax through NPS?

Add up both sources. See if the number looks worth it to you.

SAVING 01

Tax saved every year on contribution

Your slab rate $\times$ contribution amount

Bigger if employer routes 80CCD(2). Bigger at higher slab.

SAVING 02

LTCG tax saved at exit

12.5% on 60% of your gain (what MF would charge)

Same advantage regardless of slab. Grows huge over 30 years.

Add them up. If the number is meaningful to you, the answer is yes.

If you have no taxable income or zero employer benefit, the savings shrink. Then compare honestly against MF.

Your answer is now simple.

ALL FOUR YES

Do NPS.

And do it seriously. The product fits your situation. Now the only question is - how much, and how.

ANY ONE NO

Skip NPS.

That is a valid answer. Use mutual funds and other vehicles for your retirement. NPS is not the only path.

The honest pattern.

NPS is built for people whose financial life is anchored in India.

Salaried in India with employer NPS

Best case scenario

Self-employed in India, high tax bracket

Strong case, with caveats

NRI planning to return to India

Strong case for the long game

NRI staying abroad permanently

Mutual funds work better

Anyone who cannot lock money for 25+ years

Not the right product

Anyone below 20% tax slab

Run the math - exit benefit alone may be worth it

If your answer is YES,

session 1 has everything you need to actually start.

- How to open the account (eNPS, 20 minutes)
- Which fund manager to choose (any of HDFC, SBI, ICICI works)
- Active vs Auto Choice (and the four lifecycle variants)
- What allocation makes sense by age
- The minimum amounts and the operational details

Watch the session 1 recording for the practical how-to.

Questions.

Let's talk.

